FRS Interviewer Guide to

Savings

Mortgages

Pensions

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Updated

Note: this Guide is for interviewer use only.

SAVINGS AND INVESTMENTS

The FRS asks adults about all liquid assets, that is, money held in account9 and investments, because these financial holdings can affect people's eligibility for means-tested benefits. There

Basic (oh Starter) Bank Accounts are offered at high street banks and building societies, and the Post Office has introduced the Post Office Card Account foh this purpose. These should be coded separately at the question ‘Accounts’ but thereafter will be treated in the same manner as a current account.

Personal Equity Plan (PEP) will now be part of an ISA,

ICVC / OEIC

For the FRS, Investment Companies with Variable Capital (ICVC) and Open Ended Investment Companies (OEIC) should be coded as Unit Trusts/Investment Trusts. All OEICs should be ICVCs and there is little difference between them and Unit Trusts apart from the

Capital Bonds (NS&I) (

Investments accounts. ATJETsdh901hough NETsationaETs STJaviETs STJATJYTJEs were aboliETsshed in NETsovember 1994, previETsous schemes vimain valiETsbTJank and buiETsETsding society

MORTGAGES

The FRS asks about owned accommodation and

For all of these accounts the aim is to use the investment to pay off the mortgage in full at the end of the agreed period.

Flexible Mortgages

Here, mortgage repayments can T11313(.AMCID 3.944 45 5s8(f)-14(ulr3

client, and is leased back to them over a fixed term. Once, the purchase price is paid in full, the property transfers from the lender, to the client. *For the FRS, this type of mortgage should be recorded as 'an* Λ î l K IA

example, by

There are two main types of occupational pension:

i) **Defined-benefit (DB) schemes** (commonly referred to

amount of money paid in, and how the investment has grown. At retirement, this fund can be used to buy an annuity from an insurance company that will give you a regular incoTm0 .

SHPs are suitable for people who are self-employed, moderate and low earners, and those who do not have an income of their own but can afford to save for a pension (m0 .g. women on a career break). SHPs can also be set up for children.

Like personal pensions, SHPs are sold by insurance companies, some banks and building societies, as well as by some trade unions. As with GPPs, employers can make an arrangement with a pension provider and offer their employees a “group SHP” scheTm0 (m7(G)-4(S)4(H)5(P)4())0.

There are some differences between SHPs and other types of personal pensions. SHPs have to meet certain standards set by the Government to make sure they

Self-Invested Personal Pension Schemes (SIPPs)
SIPPs are another type of DC pension where the individual controls the management of their own investments directly. SIPPs are designed for people who want to manage their own fund by dealing with, and switching, their investments when they choose. They decide which assets are bought, sold or leased and when assets are acquired or disposed of.

Retirement Annuity Contracts (RACs)
RACs were pension schemes open to the self-employed and employees who were not members of their employer's occupational pension schemes. These pension arrangements were withdrawn from 1 July 1988

value too. Each time you take a lu( )-mp su(0-m)7(,)-4( )-4(no( )-r)-3(m)

may need to move into a new pension plan to do this.

Claimants who don’t have children under 20 years old in full-

occupied accommodation (e.g. bedsits) the landlord is usually liable for the tax, and adds an amount to the rent; here, the tenant will not be able to get the reduction. CTR is not available in Northern Ireland.

Disability Living Allowance (DLA)
Persons under 65 can claim for DLA if they need help

support is now given via Universal Credit (for new claims).

Council tenants on these benefits

Industrial Injuries Disablement Benefit
Provided for employees injured at work or suffering from an industrial disease. The amount depends on the degree of disablement.

In time, Universal CrediJ(UC) will supersede J6(he)14( )-4(i)5(nco)3(m)-
aims to the
contribution-based section will tinue f14(o)13(r)-3( )6(t)-4(he)3( )]TJETQ

Since 2013, upper tier ocal thorities in Englan
devolved administrations n Scotland and Wes have

Best Start Grant

From Octoer.00000625n018,0625 theSure Star.000twas Maternity Grant repace **in Scotand** by Best Star.000t Grant

using the toilet, communicating and understanding, managing medication or therapy, engaging with people and making budgeting decisions. Paid at either a standard or enhanced rate.

(ii) **Mobility Component** covering 2 activities: planning

between them. ShPP is paid at the rate of £151.97 or

transfer to ESA.

For tho¶ se with children, child elements (which replace components);

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War Widow’s/ Wido

State Pension, Widowed Mothers/Parents
AnarenPowance, over state pension age, Carer's
AnarenPowance, Severe DisabPement APowance
Industrial Death Benefit (higher rate).

Standard rate (single person)	£141.85
Standard rate (couple)	

Standard